

Chapter 8: Money and Inflation

Barter System

The economy where goods are exchanged for goods is called barter system.

Difficulties of Barter System

1. Need for double coincidence
2. Difficulty of sub-division
3. Absence of common measure of value
4. No store of value
5. Difficulty of transfer of units or value
6. Difficulties of future payments
7. Limited market

Money

Money is a commonly used medium of exchange and means of transferring purchase power.

Importance of Money

1. Importance in consumption
2. Importance in production
3. Importance in exchange
4. Importance in distribution
5. Importance in public finance
6. Importance in capital formation
7. Importance in the measurement of national income
8. Importance in the price mechanism

Functions of Money

Primary Function

- i. Medium of exchange
- ii. Measure of value
- iii. Store of value
- iv. Transfer of value

Secondary Function

- i. Standard of deferred payment
- ii. Basis of credit
- iii. Distribution of national income
- iv. Liquidity and uniformity of wealth
- v. Maximum benefit

Contingent Function of Money

Basis of credit

Distribution of national income

Liquidity and uniformity of wealth

Maximum benefit

Kinds/Forms of Money

- 1. Commodity money
- 2. Metallic money or standard
 - i. Standard or full-bodied coin
- 3. Token money
- 4. Paper money
 - i. Representative paper money
 - ii. Convertible paper money
 - iii. Inconvertible paper money
 - iv. Fiat money
- 5. Bank or credit money

Qualities/Characteristics of Good Money

- 1. General acceptance
- 2. Portability
- 3. Storability
- 4. Divisibility
- 5. Durability
- 6. Economy

Concept of Money Supply: Narrow and Broad Money**Meaning of Money Supply**

Money supply is defined as the amount of money in an economy at a given period of time. It

is the sum of currency held by public and demand deposit of public in the bank. It is a stock as well as flow variable.

Types of Money Supply

These measures of money supply are explained as follows:

1. **Narrow Money (M1):** Narrow money supply refers to the sum of currency held by the public and demand deposits held at commercial banks including other deposits held at central bank.
2. **Broad Money (M2):** The broad money supply refers to the sum of narrow money and time deposit. The time deposits consist of saving deposits, fixed deposits, call deposits and margin deposits.

Quantity Theory of Money (Fisher's Equation)

Fisher's Quantity Theory of Money shows the positive relationship between the quantity of money in circulation and the price level. According to Fisher, if the quantity of money doubles, the price level will also be doubled and vice versa, other things remaining the same.

Criticisms of Quantity Theory of Money

1. Based on the unrealistic assumptions
2. Static theory
3. Ignores other determinants of price level
4. Money is not only a medium of exchange
5. Not independent variables

Inflation

Inflation is defined as the persistent rise in the general price level. The purchasing power of money or the value of money falls during inflation.

Types of Inflation

1. On the basis of speed
 - a. Creeping inflation
 - b. Walking inflation
 - c. Running inflation
 - d. Hyper inflation
2. On the basis of cause
 - a. Demand-pull inflation
 - b. Cost-push inflation

Causes of Demand-pull Inflation

1. Increase in money supply and bank credit
2. Increase in public expenditure
3. Increase in private expenditure
4. Increase in export
5. Reduction in taxation
6. Repayment of past internal debts
7. Rapid growth of population

Causes of Cost-push Inflation

1. Increase in wages
2. Increase in the price of key materials
3. Increase in profit margins

Consequences/Effects of Inflation

1. Economic effects
 - a. Effect on production
 - b. Effect on economic growth
 - c. Effect on employment
 - d. Effect on distribution
2. Non-Economic Effects
 - a. Social effects
 - b. Moral effects
 - c. Political effects

Deflation

Deflation is the opposite of inflation. It is defined as the situation of fall in the general price level or rise in the value of money.

Causes of Deflation

1. Reduction in money supply and bank credit
2. Sudden increase in the output
3. Increase in taxes or rising in debt
4. Reduction in the government expenditure

5. Public borrowing

Consequences/Effects of Deflation

1. Effect on production
2. Effect on distribution
3. Effect on economic growth and employment
4. Other effects